Investigation: INDS J B DUARTE SA (CVM code 12319), fiscal year 2014, as it was on 2016-04-30

Statistical signal based on public financial statements. Not an accusation, not investment advice.

Company

Sector: Alimentos (origin: FCA); group: non-financial.
nenhum código de negociação no FCA entregue até a data (nos dados abertos, o campo só vem preenchido a partir do FCA de 2018)

Document used

2014 DFP, version 1, filed on 2015-03-30; origin: open data; type: individual; original scale: MIL.
Versions known on the date: 1 (2015-03-30).
Document at the CVM: http://www.rad.cvm.gov.br/ENETCONSULTA/frmDownloadDocumento.aspx?CodigoInstituicao=1&NumeroSequencialDocumento=45555

Possible manipulation (engine v1, study 1)

Financial risk (context only)

Altman Z'' (financial risk, context only)
Value: 0.165 (index)
Components: X1 = 0.319; X2 = −0.529; X3 = −0.105; X4 = 0.478 (indices)
Percentile in sector and year: 11 (n = 14)
The company's own history: fewer than 5 previous fiscal years with a value
- No cut-off zone: the available source does not define zones for Z''
- Coefficients estimated outside Brazil; bankruptcy models lose validity over time (Pereira and Martins 2015, p. 25)

Financial quality (context only)

Piotroski F (financial quality, context only)
Value: F = 2/9 (7 computable)
Signals:
- Return on assets (ROA): 0
- Operating cash flow on assets (CFO): 0
- Change in ROA: 0
- Cash above earnings (ACCRUAL): 1
- Change in leverage: 0
- Change in current ratio: 1
- No equity issuance (EQ_OFFER): —
- Change in gross margin: —
- Change in asset turnover: 0
- No equity issuance (EQ_OFFER), from the cash flow statement: 6.03 lines of the frozen "emissões" pattern (reconnaissance, part 4.2), only those about shares or capital, as the article defines it ("did not issue common equity", p. 9); adaptation: preferred shares also count, because in Brazil they are equity, and the line is identified by text in the cash flow statement
- No long-term debt in either year: the change in leverage is zero and the signal is 0 (project choice; the article only defines fell = 1, rose = 0, p. 8)

Changes

Restatement through the following year's comparative: no difference above the tolerance, or the next year's DFP did not exist yet on the date.

What was known on the date

- DFP 2010, v1: 2011-03-29
- DFP 2011, v1: 2012-03-19
- DFP 2012, v1: 2013-02-15
- FCA 2014, v1: 2014-01-31
- DFP 2013, v1: 2014-02-13
- FCA 2014, v2: 2014-04-16
- FCA 2014, v3: 2014-05-27
- FCA 2014, v4: 2014-07-03
- FCA 2014, v5: 2014-07-25
- FCA 2014, v6: 2014-11-18
- DFP 2014, v1: 2015-03-30

DFP and FCA filed with the CVM by the reference date; ITR comes in a later phase.
Material facts and market notices filed by the date (IPE open data, since 2010): 21 material fact documents and 32 market notice documents.
Material facts filed in the 24 months before the date (from 2014-05-01 to 2016-04-30):

- 2015-11-05: subject omitted (possible person's name); see the document at the CVM
- 2015-10-28: subject omitted (possible person's name); see the document at the CVM
- 2015-03-19: subject omitted (possible person's name); see the document at the CVM
- 2014-12-03: subject omitted (possible person's name); see the document at the CVM
- 2014-11-26: subject omitted (possible person's name); see the document at the CVM
- 2014-07-17: subject omitted (possible person's name); see the document at the CVM
- 2014-07-02: Aprovação e ampliação da Política de Divulgação.
- 2014-06-05: subject omitted (possible person's name); see the document at the CVM

Older material facts, the market notices and the link to each document are in the JSON and on screen.
Material facts and market notices filed with the CVM by the date, from the IPE open data (since 2010): filing date, category, subject (as filed, in Portuguese) and link. The content of the documents is not downloaded, read or summarized, and the list generates no alert, score or ranking. The counts are of documents: versions, resubmissions and English versions count separately; in the list, versions of the same document and documents with the same date, category and subject appear on a single line, with a link to each one.

Data quality

53 applicable checks; 0 failed.

Auditor's report and auditor (factual section; no alert)

Auditor's report: Sem Ressalva (unqualified).
Excerpt checked literally: "Em nossa opinião, as demonstrações contábeis acima referidas apresentam adequadamente, em todos os aspectos relevantes, a posição patrimonial e financeira da INDÚSTRIAS J."
Auditor in the 2013 FCA: Exactvs Auditores Independentes Sociedade Simples.
Auditor in the 2014 FCA: Exactvs Auditores Independentes Sociedade Simples.
Auditor in the 2015 FCA: Exactvs Auditores Independentes Sociedade Simples, Jpps Auditores Independentes SS.
Auditor changes (one line per change, canonical name by the firm's CVM code):

- 2012: Jpps Auditores Independentes SS -> Exactvs Auditores Independentes Sociedade Simples. The outgoing firm audited 1 consecutive fiscal years (2011 to 2011), by the start and end dates in the FCA.
- 2015: entry of Jpps Auditores Independentes SS, with no other firm leaving.

Auditor rotation: under CVM Resolution No. 23/2021, art. 31, the same independent auditor may not serve the same client for more than five consecutive fiscal years, with a minimum interval of three fiscal years before being hired again; under art. 31-A, the term is up to ten consecutive fiscal years when the company has a statutory audit committee in permanent operation and the auditor is a firm. The Resolution has been in force since 2021-04-01 (art. 41); before that, the equivalent rule was in arts. 31 and 31-A of CVM Instruction No. 308/1999, revoked by

the Resolution (art. 40, I). A change of auditor is a fact, not an alert.

Document excerpts (copied; no alert)

Excerpts copied from the documents, with the page, and the Reference Form table. It is not a signal family: it generates no alert, score or ranking. Absence of mention does not prove absence.
How the reader was tested: 20 held-out cases, a single measurement with the frozen reader (c99c953): precision 0.962, coverage 0.962, literal check on 132 of 132 excerpts, no natural-person name (docs/leitor_medida.json).

Explanatory notes · Related parties
Note: 18 - PARTES RELACIONADAS (pages 5 to 6)
- Excerpt omitted; see page 5 of the document
- [parent company] “Controladora – A controladora da Indústrias J.B.Duarte S/A, é a DUAGRO S/A Administração e Participações, a qual, possui atualmente 55,22 % das ações ordinárias com direito a voto.” (p. 5, original excerpt in Portuguese)
- Excerpt omitted; see page 6 of the document
- [key management personnel] “CONSELHO DE ADMINISTRAÇÃO” (p. 6, original excerpt in Portuguese)

Fields of item 18 of CPC 05 (R1)
- Excerpt omitted; see page 6 of the document
- [balances] “31/12/2013 31/12/2014 Contas a receber” (p. 6, original excerpt in Portuguese)
- [balances] “? Outras contas a receber 22.174 26.315” (p. 6, original excerpt in Portuguese)

Explanatory notes · Reverse factoring and forfaiting
The reader found no mention of reverse factoring (risco sacado), forfaiting or supplier agreements in the notes of this DFP. Absence of mention does not prove absence of the operation.

Auditor's report
Type of opinion: unqualified
- [other matters] “Outros assuntos Demonstração do valor adicionado Examinamos, também, a Demonstração do Valor Adicionado (DVA), referente ao exercício findo em 31 de dezembro de 2014, cuja apresentação é requerida pela legislação societária brasileira para companhias abertas. Essa demonstração foi submetida aos mesmos procedimentos de auditoria descritos anteriormente e, em nossa opinião, está adequadamente apresentada, em todos os seus aspectos relevantes, em relação às demonstrações contábeis tomadas em conjunto.” (original excerpt in Portuguese)
- [emphasis of matter] “Ênfase Conforme descrito na nota explicativa 16 “a”, a Cia. é parte passiva em ação movida pela União, no montante de R$ 202 milhões, todavia de acordo com seus assessores jurídicos o máximo de perda projetada seria em 31 de dezembro de 2014 de R$ 61.675 mil, ainda de acordo, com a nota explicativa 16 “b”, a Cia. pleiteia junto a justiça, a restituição de valores recolhidos para o desembaraço de importações de trigo, vindas da Argentina, que por ser membro da ALADI, estavam isentas do respectivo tributo. A ação já foi ganha em primeira instância. O montante de restituição estimado pelos assessores jurídicos é de R$ 110 milhões, valor este suficiente para fazer frente aos passivos devidos pela Cia., inclusive contra a própria UNIÃO. No entanto, devido a demora nos tramites judiciais a situação econômica e financeira da Cia. mostra-se desfavorável. Adicionalmente, investimentos realizados em novos negócios não trouxeram retorno, agravando assim, a situação financeira da Cia. As demonstrações foram preparadas no pressuposto da continuidade normal dos negócios da Companhia. São Paulo, 12 de fevereiro de 2015.” (cut at the end of a sentence, original excerpt in Portuguese)

Reference Form
The Reference Form for this fiscal year was not available on the date. It is the only version available in the open data; earlier versions are not there.

Limits of this section:

- In real documents, about 22% of the excerpts come out omitted by the name detector, including names of companies outside the registry.
- In tables, header lines (years, column titles) may come out as excerpts; the held-out cases had no tables with multi-line headers.

How the engine was tested

In study 1, engine v1 detected 7 of 13 detectable cases, with 108.3 false alarms per detected case over the whole period and an alert rate of 49.9% among evaluated non-financial company-years (docs/summary.md).

Limits

- No alert is not a clean bill of health. In Dechow, Sloan and Sweeney (1995), the most powerful accruals model rejected 'no manipulation' for only 28.1% of 32 companies sanctioned by the SEC (Table 7, p. 32).
- In study 1, 49.9% of evaluated non-financial company-years (48.3% including financial companies) were in alert, and the number of detections did not beat chance in a descriptive test done after the result: 7 detections in 13 detectable cases, against 7.37 expected by chance without assuming independent years (8.56 assuming independent years).
- Risk models use numbers that may be manipulated (Pereira and Martins 2015, p. 29). That is why the three families are not added up.

Limitations

- Context indicators (Altman Z'' and Piotroski F) were not validated in Brazil by this project and do not trigger alerts

Evidence in the JSON: 36 DFP lines, each with document, version, filing date, account and location.

Engine

motor v1 (estudo 1), branch estudo-1-final, commit 8c9a823; chiocca.v2 (produto, fases B a F1); leitor-f1-1 (commit c99c953). The generation date is in the demo manifest (demo/manifesto.json).

Today's information (outside the reference date)

Registry status: CANCELADA. Source: CVM registry of listed companies (cad_cia_aberta.csv), in the version downloaded for the project, not on the reference date.
Name in today's registry: BLUE TECH SOLUTIONS EQI S.A.